



|                                                                                      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
|--------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Introduction</b>                                                                  | <ul style="list-style-type: none"> <li>the trade in goods</li> <li>the balance of payments on current account – deficits and surpluses</li> <li>criteria for assessing the impact of a deficit</li> <li>the potential nature of the problem in the context of the UK economy.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| <b>Developing the response to the question:</b><br><br><b>Application / Analysis</b> | <ul style="list-style-type: none"> <li>the possible determinants of a successful export performance</li> <li>possible determinants of imports</li> <li>whether competitiveness in world markets is an underlying issue and is the real cause for concern</li> <li>Whether global macroeconomic conditions provide part of the answer and whether they will be a temporary phenomenon</li> <li>whether deficits arise from a loss of comparative advantage</li> <li>the part played by the exchange rate at any one time and whether this is a temporary difficulty</li> <li>whether non-price factors must be seen as a cause for concern</li> <li>deindustrialisation as part of the explanation over the long term</li> <li>the impact of deficits on other macroeconomic indicators – growth and employment</li> <li>the compensatory role of invisibles</li> <li>the compensatory role of capital flows</li> <li>the possibility that a deficit might be a reflection of rising living standards in a country</li> <li>use of diagrams</li> <li>reference to the UK and/or other economies</li> </ul> |
| <b>Evaluation</b>                                                                    | <ul style="list-style-type: none"> <li>how persistent the deficit is</li> <li>how large the deficit is, for example, in relation to GDP</li> <li>whether it has an impact on the exchange rate and the consequences of this</li> <li>the ability to borrow, if necessary, to finance the deficit</li> <li>whether, in reality, it has had any lasting adverse impact on growth or jobs</li> <li>whether the attempts to reduce it cause more problems, e.g. deflation of AD</li> <li>whether the deficit brings higher living standards, if only in the short term</li> <li>is the deficit indicative of a country 'living beyond its means'?</li> <li>it may lead to calls for increased protectionism which may cause</li> </ul>                                                                                                                                                                                                                                                                                                                                                                        |

long term problems

- the need to distinguish actions to control the deficit from actions to bring about a long term solution
- international opinion of the deficit
- whether it brings intervention by the IMF
- a final judgement.

*Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*

[25]

2.

For defining the concept of trade-off, inflation, demand-pull inflation, cost-push inflation, economic growth, or any other relevant definition.

How rising aggregate demand as a result of the growth process might put pressure on prices, leading to demand-pull inflation, and hence cause action to be taken to reduce AD.

How economic growth might increase pressure of demand on resources, cause producer costs to rise, causing in turn price increases and hence cost-push inflation. Action might then be taken to limit growth in order to reduce pressure of demand on resources.

For use of relevant diagrams, e.g. AD/AS, Phillips Curve.

Loose monetary policy such as lower interest rates and increased money supply causing AD to rise because of, for example, cheaper consumer credit, causing prices to rise if AS cannot respond.

Loose fiscal policy such as lower taxation.

Supply-side shocks such as rising oil prices.

Other cost pressures such as rising wage costs.

Rising expectations of future price rises.

Analysis in terms of demand-pull factors generally.

Analysis in terms of cost-push factors generally.

Any other valid analysis.

Make use of appropriate diagrams in the analysis, e.g. AD/AS, Phillips Curve

[9]

|                                                                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
|---------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Introduction</b>                                                       | <ul style="list-style-type: none"> <li>• economic growth</li> <li>• other macroeconomic performance indicators</li> <li>• the contrasting economies of India and the UK.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
| <b>Developing the response to the question:</b><br><br><b>Application</b> | <ul style="list-style-type: none"> <li>• Line 3: reference to increased exports</li> <li>• Lines 6–8: impressive quarterly growth which, if maintained, could create spin-offs for the UK</li> <li>• Line 18–19: GDP, multiplier, accelerator</li> <li>• Line 19: inward investment from India</li> <li>• Lines 24–28: benefits for the UK from India's infra-structure development</li> <li>• Line 31: the limitations for the UK if India remains 'fiercely protective'.</li> </ul>                                                                                                                                                                                                                                                                              |
| <b>Developing the response to the question:</b><br><br><b>Analysis</b>    | <ul style="list-style-type: none"> <li>• how it is expected that India might develop in the future</li> <li>• the current importance of India to the UK and how this might change in the future</li> <li>• the potential impact on UK economic growth</li> <li>• the potential impact on the UK balance of payments both on current and capital accounts</li> <li>• the potential impact on employment/unemployment</li> <li>• UK structural change influenced by economies such as India</li> <li>• the impetus that stronger links with India may give to supply-side reforms</li> <li>• the impact on productivity and competitiveness</li> <li>• the impact on investment flows</li> <li>• use of diagrams</li> <li>• reference to other economies.</li> </ul> |
| <b>Evaluation</b>                                                         | <ul style="list-style-type: none"> <li>• India needs to be put into the context of other significant fastdeveloping nations which may all eventually play a part in UK macroeconomic performance</li> <li>• India needs to be put into the context of our currently important trading partners – the US and the EU</li> <li>• India may decide to remain protectionist in terms of certain types of investment and trade</li> <li>• how more effective, if at all, some of our competitors are in penetrating the Indian economy</li> <li>• the net trade flow</li> <li>• the net investment flow</li> </ul>                                                                                                                                                       |

- 
- whether the UK produces what India's development requires, and, if not, whether the UK is able and willing to carry out the required structural change
  - how supportive the UK government is of private sector efforts in penetrating the Indian economy
  - whether or not India's growth and development continues in the current global economic climate
  - a final judgement on the overall likely importance of India to the UK economy.

*Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*

[25]

EXAM PAPERS PRACTICE

© 2025 Exam Papers Practice. All Rights Reserved

|                                                                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
|---------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Introduction</b>                                                       | <ul style="list-style-type: none"> <li>the nature of the EU perhaps with reference to institutions</li> <li>the UK position within the EU</li> <li>fiscal policy and budgetary positions</li> <li>criteria for assessing consequences.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| <b>Developing the response to the question:</b><br><br><b>Application</b> | <ul style="list-style-type: none"> <li>Lines 1–3: the remedial Keynesian approach now denied to member states</li> <li>Line 4: the abandonment of fiscal rules</li> <li>Lines 11–14: the crisis in Greece arising from fiscal looseness</li> <li>Lines 19–23: the UK Government seeming to be a step ahead of some in the EU especially with the setting up of the OBR.</li> <li>Keynesian multiplier</li> <li>Budgetary positions</li> <li>Current account deficits.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                   |
| <b>Developing the response to the question:</b><br><br><b>Analysis</b>    | <ul style="list-style-type: none"> <li>the general economic consequences any individual economy might expect in trying to achieve a balanced budget</li> <li>the consequences for the EU as a whole of achieving that position</li> <li>the idea of 27 nations being required to follow the same policy</li> <li>the reasons for the policy</li> <li>the impact on economic growth</li> <li>the impact on living standards in the short term and long term</li> <li>the impact on employment/unemployment</li> <li>the impact on the UK's balance of payments on current account</li> <li>the impact on inflation</li> <li>the possibility of deflation</li> <li>the impact on types and levels of government spending</li> <li>the changes in taxation and the possible impact of the changes</li> <li>use of relevant diagrams</li> <li>reference to other economies.</li> </ul> |
| <b>Evaluation</b>                                                         | <ul style="list-style-type: none"> <li>whether or not the policy is introduced for economic reasons or to reflect a particular political philosophy may influence judgement on the policy</li> <li>the time given for any one country to achieve a balance</li> <li>the UK's original fiscal position at the time the policy is introduced</li> <li>for how long a country will be expected to continue with the policy</li> <li>whether or not the policy will be effectively enforced</li> <li>whether the UK pursues the policy mainly through tax increases or</li> </ul>                                                                                                                                                                                                                                                                                                      |



public spending cuts or a combination of both

- whether it will be short-term 'pain' for long-term benefit
- the differing impact on particular sections of the UK population
- whether additional private sector activity will compensate
- whether monetary policy has the same constraints imposed
- the problems which 'one-size-fits-all' policy tends to generate for individual nations
- a final judgement on the overall impact on the UK economy.

*Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*

[25]





7.

**Issues and areas for discussion include**

|                                                                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
|---------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Introduction</b>                                                       | <ul style="list-style-type: none"><li>• interest rates</li><li>• role of MPC</li><li>• inflation and government target</li><li>• understanding of 'high inflation'</li><li>• cost-push/demand-pull inflation.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| <b>Developing the response to the question (analysis and application)</b> | <ul style="list-style-type: none"><li>• aggregate demand</li><li>• aggregate supply</li><li>• cost-push inflation</li><li>• Phillips Curve theory</li><li>• macroeconomic indicators</li><li>• liquidity trap (examiners note: this is not in the specification)</li><li>• interest rates and the transmission mechanism</li><li>• the impact of low interest rates, eg on consumer credit, investment</li><li>• interest rates as a cost of production</li><li>• the importance of identifying the prime cause of inflation</li><li>• other macroeconomic problems at the time of high inflation</li><li>• the function of interest rates in controlling inflation</li><li>• analysis of the possible irrelevance of interest rates to inflation given the known cause of inflation</li><li>• the impact of high interest rates on other aspects of the macroeconomy if they were to be used to control inflation, e.g. unemployment</li><li>• other anti-inflation policies when interest rates are being kept low</li><li>• use of diagrams</li><li>• references to the real world perhaps including the stats included in the preamble to the question, as well as others known by the candidate.</li></ul> |
| <b>Evaluation</b>                                                         | <ul style="list-style-type: none"><li>• the importance of having low interest rates because of the condition of the macroeconomy, eg the perceived need to prevent recession and future deflation</li><li>• interest rate policy as a possible irrelevance given the type of inflation which is prevalent</li><li>• high inflation seen as a manageable problem irrespective of what happens to interest rates</li><li>• how permanent/temporary the high inflation is seen to be</li><li>• the duration of the era of low interest rates</li><li>• the possible importance of having a favourable exchange rate in world markets which can be achieved through low interest rates</li><li>• an assessment of the potential contribution of other policies to the battle against inflation, eg supply side, fiscal, so that high interest rates are not so vital even if the inflation arises from high demand</li><li>• the extent of inflation in an international context: 'high' may be in a historical context domestically, possibly in relation to a government</li></ul>                                                                                                                                |





EXAM PAPERS PRACTICE

- inflation target, rather than in the current international context
- a final judgement perhaps in the context of recent UK experience.

*Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]



© 2025 Exam Papers Practice. All Rights Reserved



9.

**Issues and areas for discussion include**

|                                                                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
|---------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Introduction</b>                                                       | <ul style="list-style-type: none"><li>• the concept of a single market</li><li>• other examples of single markets</li><li>• the development of the EU single market</li><li>• possible criteria for assessing benefits in outline.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| <b>Developing the response to the question (analysis and application)</b> | <p><i>It will be perfectly legitimate for a candidate to cite benefits and, by evaluating these, to identify costs (or vice versa), eg competition as a spur to efficiency, but in evaluation, the UK not able to match the achievements in efficiency seen in some other member states with higher unemployment being a potential cost (consequence) of this.</i></p> <ul style="list-style-type: none"><li>• economic growth</li><li>• economies of scale</li><li>• comparative advantage</li><li>• specialisation</li><li>• efficiency, with inefficient firms failing (static v dynamic efficiency)</li><li>• productivity</li><li>• competition</li><li>• choice of goods and living standards</li><li>• mobility of resources</li><li>• harmonisation of economic policies possible</li><li>• trade expansion/trade creation</li><li>• standardisation of national regulations</li><li>• greater ease of doing business between members</li><li>• investment</li><li>• the single market as a 'driver' to further enlargement of the EU in general (although some would see this as a cost)</li><li>• costs for the UK associated with being geographically separate from the rest of the EU and peripheral to the core</li><li>• unemployment</li><li>• low wages arising from mass immigration</li><li>• a steady weakening, perhaps ultimately loss, of UK economic links with the rest of the world as trade diversion becomes more prevalent</li><li>• costs associated with a 'survival of the fittest' scenario</li><li>• bullying by dominant members into accepting economic policies seeking to strengthen the single market which are not in UK's long-term interests</li><li>• regulations not necessarily being removed but imposed at EU, rather than national, level</li><li>• use of diagrams</li><li>• references to the real world.</li></ul> |

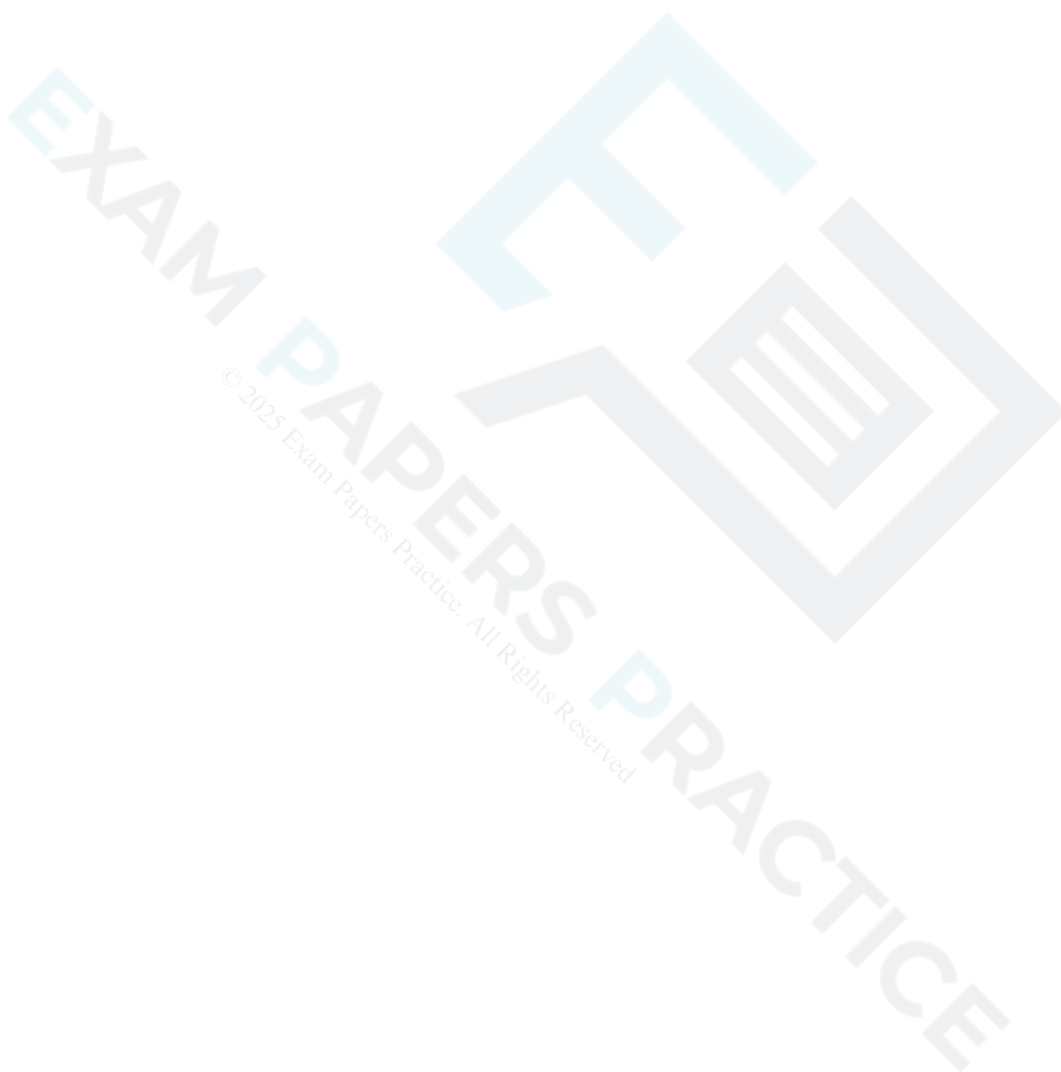
**Evaluation**

- much of any objective evaluation may rest on to what extent the single market is allowed to develop ultimately
- non-EU countries which did have strong economic ties with one or other members of a single market may find them weakening (trade diversion taking place), eg the Commonwealth and UK
- progress can be slow, eg the single market in services still needs to be developed, and yet some members are largely dependent on services
- a single market may not mean fewer regulations faced by members but just regulations raised to organisation, rather than national, level and this may not be efficient from the national perspective or, ultimately, from the single market perspective
- threat of competition for an individual economy from lower-cost members with implications for the balance of payments and jobs, perhaps irrespective of the efficiency gains in the higher-cost country
- labour mobility does not always deal with surplus/shortage problems very neatly and individual countries may suffer
- migration driven not by economic factors (e.g. prospects of employment) but the supportive mechanisms in place in the recipient countries (eg welfare and health-care), perhaps causing a heavier burden on an economy's public finances and downward pressure on wages
- higher living standards for all cannot be assumed; improvements may well be patchy
- any economic benefits such as higher growth can be diluted by developments beyond the single market, notably global recession
- the possibility of any one member being continually pressured to accept developments e.g. the single currency and/or a common fiscal policy
- the drawing of different conclusions is possible when considering the likelihood of a two-speed EU, ie euro members v non-euro members
- a final judgement on the potential benefits of the single market for a country such as the UK. Some central facts: access to 500m people; over half of UK trade is with other members of the single market; estimated that 3.5mn UK jobs are linked to export of goods and services to the remainder of the single market; another estimate suggests that member countries trade twice as much with each other as they would in the absence of the single market.

*Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.*

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]



**Issues and areas for discussion include**

|                                                                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
|---------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Introduction</b>                                                       | <ul style="list-style-type: none"> <li>• definition of supply-side reforms</li> <li>• the balance of trade in goods</li> <li>• improvement: reduced deficits or from deficit to surplus.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| <b>Developing the response to the question (analysis and application)</b> | <ul style="list-style-type: none"> <li>• aggregate supply</li> <li>• aggregate demand</li> <li>• productive capacity</li> <li>• cost-push/demand-pull inflation</li> <li>• productivity</li> <li>• the concept of competitiveness</li> <li>• supply-side reforms in outline</li> <li>• objectives of reforms, e.g. flexibility, mobility, quality, lower unit costs, choice, structural change</li> <li>• individual reforms relevant to the trade in goods</li> <li>• the significance of overseas demand for UK exports and UK demand for imported goods</li> <li>• other policies not linked to the supply side</li> <li>• use of diagrams</li> <li>• references to the real world.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
| <b>Evaluation</b>                                                         | <ul style="list-style-type: none"> <li>• the nature, extent and effectiveness of UK reforms in relation to those of other countries</li> <li>• whether or not supply-side reforms can in any way compensate for decades of deindustrialisation so that imported goods are an inevitability</li> <li>• the long-term nature of reforms so that deficits may persist in the short and medium terms</li> <li>• the significance of changing tastes in world markets</li> <li>• supply-side reforms at a time of a sustained global downturn</li> <li>• supply-side reforms concentrating on lowering unit costs rather than quality and choice, so imports remain attractive, exports no more attractive</li> <li>• whether supply-side reforms will always be a story of 'too little, too late'</li> <li>• relative merits of supply-side policies to other policies that can be used to reduce deficits eg significance of exchange rates</li> <li>• a final judgement, perhaps in the context of recent UK experience.</li> </ul> <p><i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i></p> |

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

**11.****Relevant issues/logical chains of analysis include:**

- defining/explaining the balance of trade, visibles/invisibles, the balance of payments on current account, (persistent) deficit/surplus
- high exchange rate which has perhaps appreciated steadily over time. It has made the price of exported goods more expensive and the price of imported goods cheaper. If the price elasticity of demand for exports and imports is elastic less export revenue can be expected. Expenditure on imports will show an increase and hence a balance of trade deficit emerges, all other things being equal
- persistent inflation which compares unfavourably to that of trading partners
- high income elasticity of demand for imports
- supply-side weaknesses such as low productivity
- limited structural changes in the economy so that it no longer produces what world markets want
- deindustrialisation making increased imports of imported goods inevitable
- quality of goods compared to other countries
- economic downturns amongst our trading partners not experienced within the UK so that export sales become more difficult while imports of goods stay buoyant or even increase especially if overseas suppliers are desperate to sell and reduce their overseas prices
- comparative advantage
- protectionism in trading partners not replicated in the UK
- diagrams to help support explanations, eg AD/AS, comparative advantage, tariffs/quotas

**[15]****12.****Relevant issues/logical chains of analysis include:**

- definition of the phrase 'double-dip recession', eg an economy which has been in recession, experiences a tentative recovery, but then slips back into recession; a definition of recession, eg in terms of 2 consecutive quarters of negative GDP growth
- further explanation of the term with particular reference to the term recession and its characteristic, perhaps putting it into the context of the trade cycle, or the output gap
- As the economy slips into recession, unemployment will begin to rise as consumers begin to spend less and businesses dismiss workers in order to cut costs and ensure their survival until the upturn. This unemployment will be the cyclical portion of total unemployment
- UK recession as part of a global recession or a recession amongst our major trading partners
- Less investment and so potentially less job creation
- Higher savings amongst consumers as confidence wanes, and therefore less spending
- Industries or regions already weak now facing further, perhaps more severe, decline
- Housing as a major, labour-intensive sector, comes under pressure and initiates a negative multiplier process
- Deflation and the potential for deferred spending
- Governments refuse to take adequate counter-cyclical (Keynesian) measures perhaps already constrained by fiscal problems
- Wage inflexibility

**[9]**

**Issues and areas for discussion include**

|                                                              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|--------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Introduction</b>                                          | <ul style="list-style-type: none"> <li>• economic growth</li> <li>• general causes of economic growth</li> <li>• the EU</li> <li>• 'the best hope' in relation to what?</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
| <b>Developing the response to the question (Application)</b> | <ul style="list-style-type: none"> <li>• economic growth theory</li> <li>• trade cycle and recession</li> <li>• fiscal policy and deficit-reduction policy</li> <li>• application to recent/current events so heavily represented in the media</li> <li>• the EU tumbling back into recession (lines 4–6)</li> <li>• variation in prospects between EU member countries (lines 7–8)</li> <li>• strict fiscal policies in UK and in much of the rest of the EU (lines 20–22)</li> <li>• recovery in the global economy (lines 35–36)</li> <li>• hopes for stabilisation in the eurozone (lines 40–41).</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
| <b>Analysis</b>                                              | <ul style="list-style-type: none"> <li>• how the EU can help UK GDP growth, eg demand for exports, euro and other currencies strengthening against the pound</li> <li>• stimulus from those EU economies recovering more quickly than others</li> <li>• the EU and the single market</li> <li>• stimulus from other parts of the world, eg the emerging markets</li> <li>• UK supply-side reforms giving a competitive edge in albeit depressed markets</li> <li>• the contribution of domestic demand within the UK, eg if fiscal constraints are relaxed on spending, tax cuts are introduced, consumers begin to show a stronger response to low interest rates</li> <li>• the impact of any increase in domestic wage increases should they occur after a period of restraint</li> <li>• UK private sector beginning to more than compensate for the contraction of the public sector</li> <li>• investment trends in the UK</li> <li>• trends in the exchange rate of the £ against other currencies impacting on UK global exports</li> <li>• use of diagrams</li> <li>• references to the UK and/or other economies.</li> </ul> |



|                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|-------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Evaluation</b> | <ul style="list-style-type: none"> <li>• whatever growth is seen within the EU, other parts of the world may grow more strongly and offer more opportunities to the UK</li> <li>• the speed of recovery particularly in the eurozone</li> <li>• the persistence/exacerbation of economic problems for the UK should the eurozone begin to break up</li> <li>• whether or not the UK is competitive enough against the emerging markets</li> <li>• greater reliance for growth from within the UK if recovery becomes more rapid, perhaps on the back of a looser fiscal policy, increased consumer and business confidence, a stronger government growth strategy</li> <li>• the dangers of discussing just in terms of eurozone/non-eurozone countries; analysis must be of individual EU economies to assess their potential contribution to UK growth in the future and their past importance to the UK economy</li> <li>• in more stable times, the size of population in the EU, total spending power, and the benefits to the UK of the single market</li> <li>• whatever the UK prospects for growth emanating from the EU, the long term sense of limiting UK reliance on one area of the world and developing stronger links elsewhere</li> <li>• a final judgement on the prospects for the UK</li> </ul> <p><i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i></p> |
|-------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

**14.****The calculation:**

**Value:** With real GDP being €2500bn in 2010, the real GDP growth rate of 3% shown for Germany in 2011 would indicate an additional €75bn of output in real terms in that year. It is acceptable for candidates to give this figure or (€2500bn + €75bn) €2575bn.

|                                                                                                                                                                                         |                |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|
| For the correct answer of €75bn or €2575bn (the 2010 real GDP figure added to the €75bn which represents the 3% growth in the data). Working need not be shown but the unit must (€bn). | <b>2 marks</b> |
| For an answer without the unit shown                                                                                                                                                    | <b>1 mark</b>  |

[2]



|                                                              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
|--------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Introduction</b>                                          | <ul style="list-style-type: none"> <li>• criteria for assessing 'significant strengthening of the economic importance'</li> <li>• identification of one or more MENA economies</li> <li>• the range of economic experience in the MENA economies.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                     |
| <b>Developing the response to the question (Application)</b> | <ul style="list-style-type: none"> <li>• comparative advantage</li> <li>• labour productivity</li> <li>• production possibilities</li> <li>• supply of resources from the resource-rich MENA economies (line 6)</li> <li>• opportunities for UK financial services (lines 12-13)</li> <li>• the threat from MENA manufacturing (lines 13-14)</li> <li>• further investment opportunities for UK in the MENA economies (lines 18-20)</li> <li>• the potential significance of free trade agreements between MENA and other economies (lines 24-26)</li> <li>• potential benefits to the UK of higher living standards in MENA countries (lines 27-30).</li> </ul> |
| <b>Analysis</b>                                              | <ul style="list-style-type: none"> <li>• economic growth</li> <li>• employment and unemployment</li> <li>• balance of payments on current account</li> <li>• supply-side reforms</li> <li>• AD/AS analysis</li> <li>• comparative advantage</li> <li>• further structural change in the UK economy</li> <li>• living standards</li> <li>• direction of investment</li> <li>• use of diagrams</li> <li>• references to the UK and/or other economies.</li> </ul>                                                                                                                                                                                                  |



|                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
|-------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Evaluation</b> | <ul style="list-style-type: none"><li>• 'concern' needs to be measured against opportunities in the MENA economies</li><li>• continuing political instability in the MENA region may dilute any threats to the UK and any opportunities for the UK in the MENA economies</li><li>• the inflexibility of the UK economy may mean lost opportunities</li><li>• if and when importance strengthens, the MENA economies' more powerful negotiating position regarding prices of resources needed by developed countries</li><li>• MENA economies in relation to other opportunities elsewhere in the global economy</li><li>• opportunities/threats in the UK domestic economy compared to those presented by the MENA economies</li><li>• how the UK might compare to other economies with similar aims of gaining a foothold in the MENA economies, eg, the emerging markets</li><li>• the significance of relative inflation rates between MENA economies and the UK, and between the UK compared to other economies showing interest in the MENA economies</li><li>• the possible greater impact on the UK and a cause for concern if the UK's major markets, the EU and US, continue to have problems</li><li>• the threat the MENA economies pose to the UK in established UK markets especially in the long term</li><li>• a final judgement on the economic consequences.</li></ul> <p><i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill..</i></p> |
|-------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

18.

**Possible explanation:**

- Defining and/or explaining stronger real GDP growth
- For defining and/or explaining economic recovery. A reference to economic shocks might also be included here and should be rewarded.
- For references to such factors as investment, reduced unemployment, the multiplier.
- For use of a relevant diagram, eg AD/AS, output gaps.

**Analysis of an economic shock.**

- The way in which rising oil prices might impact on recovery by causing inflation or worsening inflation by cost-push building on demand-pull inflation. Oil prices will mean additional costs for industry and the consequent higher prices to consumers might discourage consumption together with higher fuel prices causing less disposable income to be available to spend on non-fuel consumption. The authorities' counter-inflation policies might also impede recovery such as higher interest rates.
- A banking/financial markets crisis which restricts investment.
- Interest rate increases
- Problems in leading sectors such as housing
- A tightening of fiscal policy
- Collapse of the euro/exit of some members of the eurozone.
- Use of appropriate diagrams, eg AD/AS
- References to the UK and/or other economies

**[9]****20.****Issues and areas for discussion include:**

|                                                                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
|---------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Introduction</b>                                                       | <ul style="list-style-type: none"> <li>• inflation and deflation defined</li> <li>• the issue of price stability as an objective</li> <li>• the issue of avoidance of deflation, eg the possibility of being able to do so</li> <li>• other macroeconomic objectives</li> <li>• the UK experience</li> <li>• the current inflation target of 2% (CPI).</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
| <b>Developing the response to the question (application and analysis)</b> | <ul style="list-style-type: none"> <li>• 'benign' v 'malevolent'</li> <li>• the benefits to competitiveness of a period of deflation</li> <li>• the benefits to real income and real purchasing power, boosting AD</li> <li>• the benefits of reflationary policies to correct deflation</li> <li>• the danger of entering a 'liquidity trap' scenario (examiners note that this term is not in the specification)</li> <li>• the impact on the real value of savings</li> <li>• the impact on business and household confidence</li> <li>• postponement of consumption</li> <li>• the impact on profits, for example, if consumption is postponed or wages are 'sticky' downwards, and hence the impact on investment</li> <li>• the ultimate damage to growth and jobs</li> <li>• the impact on creditors/debtors</li> <li>• the ultimate impact on living standards</li> <li>• deflation increasing the real burden of debt</li> <li>• arbitrary distributional effects</li> <li>• possible adverse macroeconomic implications overall worsening the fiscal position</li> <li>• use of diagrams</li> <li>• reference to the UK</li> <li>• reference to other economies.</li> </ul> |



|                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
|-------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Evaluation</b> | <ul style="list-style-type: none"><li>• 'a' or 'the' major macroeconomic objective</li><li>• the degree to which the problem can be anticipated and corrective policies followed</li><li>• the degree of deflation</li><li>• the duration of the problem</li><li>• deflation or inflation? Both to be avoided and the control of both seen as a major economic objective</li><li>• avoidance of deflation as always needing to be the major objective: an assessment of deflation as the major macroeconomic objective in relation to an assessment of the importance of other macroeconomic objectives, eg deflation and the balance of payments as opposed to deflation and economic growth</li><li>• the issue of whether equal weight needs to be given to all macroeconomic objectives and their interrelationships recognised</li><li>• such weighting may change to suit changing circumstances</li><li>• an assessment of deflation in relation to a possible alternative, ie mild inflation which might be welcomed or runaway inflation which would not</li><li>• the simultaneous experience of other economies</li><li>• mild deflation as a minor problem compared to the effects of the authorities over-reacting and reflation too strongly</li><li>• a final judgment, eg price stability needs to be the major macroeconomic objective with control over changes in the price level whether these are pointing to inflation or deflation because this can be seen as the foundation upon which a strong macroeconomy can be built.</li></ul> <p><i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i></p> |
|-------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

Issues and areas for discussion include:

|                                                                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
|---------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Introduction</b>                                                       | <ul style="list-style-type: none"> <li>• UK fiscal policy and budgetary positions</li> <li>• general tax principles, eg fairness, ability to pay, incentives</li> <li>• examples of UK taxes and tax rates</li> <li>• the distinction between direct and indirect taxation</li> <li>• different categories of spending, eg capital v current</li> <li>• the nature of UK Government spending cuts.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| <b>Developing the response to the question (application and analysis)</b> | <ul style="list-style-type: none"> <li>• direct taxation and the issue of incentives (income and substitution effects)</li> <li>• corporate taxes v taxation of household income</li> <li>• Laffer Curve analysis (not mentioned in the specification)</li> <li>• indirect taxes and the issue of their regressive nature</li> <li>• equity and equality</li> <li>• supply and demand analysis to show the possible incidence of taxation</li> <li>• the possible effects of increasing tax rates on total tax revenue per tax</li> <li>• public spending and multiplier/reverse-multiplier</li> <li>• government spending cuts and the impact on private sector business</li> <li>• cuts to capital spending and macroeconomic implications</li> <li>• cuts to current spending and transfer spending</li> <li>• use of diagrams</li> <li>• references to the real world.</li> </ul> |



|                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
|-------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Evaluation</b> | <ul style="list-style-type: none"><li>• the need for a balanced approach to the use of tax and spending policies</li><li>• relative distributional effects</li><li>• relative impact on economic recovery</li><li>• assessment of the use of a particular tax; any increase in its tax rate(s) may be influenced by the degree of change in the rate(s) being imposed</li><li>• judgments made on the actual effect on living standards by individual taxes or particular aspects of government spending, whatever the ultimate aim is of a budget surplus</li><li>• the national and international macroeconomic climate in which changes are being made</li><li>• how tax/government spending changes relate to the supply-side ethos of recent governments</li><li>• surveys which point to a limited or zero impact on incentives to work resulting from changes in income tax</li><li>• welfare-spending cuts and the unemployment trap</li><li>• tax changes and the poverty trap</li><li>• the need for coordination of spending and tax policies, eg needing to avoid conflict between welfare benefits and harshly regressive indirect taxes, or assessing if one compensates for the other</li><li>• the impact of individual taxes on macroeconomic indicators, eg indirect taxes on the rate of inflation</li><li>• the assessment of both might be affected by the speed with which spending cuts/tax increases are implemented</li><li>• a final judgment regarding the best policy for the macroeconomy, individuals, for living standards in general, for the achievement of other macroeconomic objectives.</li></ul> <p><i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i></p> |
|-------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

|                                                                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
|---------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Introduction</b>                                                       | <ul style="list-style-type: none"> <li>• Economic growth</li> <li>• The standard of living</li> <li>• The recent global experience.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
| <b>Developing the response to the question (application and analysis)</b> | <ul style="list-style-type: none"> <li>• How world economic growth is likely to be achieved</li> <li>• The importance of ensuring that growth is sustainable</li> <li>• Recognition that the impact could be positive or negative in net terms</li> </ul> <p><b>The UK economy:</b></p> <ul style="list-style-type: none"> <li>• Aggregate demand</li> <li>• Changes to the incentive to invest and the possible impact on such things as productive capacity</li> <li>• Aggregate supply</li> <li>• Inflation</li> <li>• The environment</li> <li>• The ability to sell overseas and hence the impact on exports</li> <li>• Imports</li> <li>• The balance of payments on current account</li> <li>• The prospects for inward/outward FDI</li> <li>• World growth causing changes to wealth creation in the UK</li> <li>• Employment/unemployment</li> <li>• The impact of world commodity prices.</li> </ul> <p><b>The individual in the UK:</b></p> <ul style="list-style-type: none"> <li>• Trend in average income (income per head)</li> <li>• Distribution of income</li> <li>• A possible sharpening of the “haves and have-nots” distinction</li> <li>• Consumption patterns</li> <li>• The wealth effect associated with rising asset prices in a period of growth</li> <li>• Choice of jobs</li> <li>• Quality of life</li> <li>• Quality of life measures such as the HDI and the “happiness index”.</li> </ul> |



|                              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
|------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Evaluation</b>            | <ul style="list-style-type: none"><li>• The extent of world economic growth</li><li>• World economic growth from what starting point, eg years of stagnation?</li><li>• The importance of considering where in the world growth is taking place and the bearing this may have on the UK economy</li><li>• The UK's capability to participate in the growth process and in its rewards</li><li>• The possibility of the UK economy importing the downside of world growth, eg inflation and a deteriorating environment, without enjoying the benefits, eg more jobs and more spending power</li><li>• It is easier to measure the economic impact on the individual, ie income per head, than it is to measure changes to the quality of life</li><li>• What of the individual who has the wrong skills or qualifications to allow occupational mobility or cannot become geographically mobile?</li><li>• Short term v long term impact for both the individual and the economy</li><li>• Does the UK economy enjoy higher demand without giving due attention to its supply-side?</li><li>• Is sufficient attention given to the environment both from the individual's point of view and that of the UK economy?</li><li>• Whether growth elsewhere is likely to cause net economic benefit or net economic damage to the UK.</li></ul> <p><i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i></p> |
| <b>Also give credit for:</b> | <ul style="list-style-type: none"><li>• Reference to the UK/other economies</li><li>• Diagrams</li><li>• An overall judgement on the issues raised.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]



**24.****Relevant issues/logical chains of analysis include:**

- defining/explaining budget/budget deficit/fiscal policy government spending taxes or taxation
- direct taxes are taxes on household and corporate income and include income tax and corporation tax. Raising direct taxes will reduce household disposable income and reduce the profits of companies. This may affect incentives to work and to take risks and hence adversely affect the economy's supply side however higher direct taxes may allow for lower indirect taxes such as VAT or excise duties
- the impact of indirect taxes on the rate of inflation
- the impact of taxes on wage demands
- the impact of tax rises on household demand for goods and services building on the effects of a tighter fiscal policy to a degree not intended by the government
- the distinction between capital, current and transfer spending which the government can use to limit the impact on different groups in society, eg maintaining spending on the NHS and welfare
- cuts in capital spending, eg infrastructure, can go unnoticed for some time in a way that increases in taxation often cannot
- spending cuts can avoid cutting spending on supply-side improvements such as education and training so continuing to lay stronger foundations for recovery
- the relative distributional effects of tax rises v spending cuts
- diagrams to help support explanations, eg Laffer Curve, the relationship between tax revenue and spending and how it may change over time, AD/AS

**[15]**

**25.****Relevant issues/logical chains of analysis include:**

- defining economic shock, eg what maybe an unexpected event or one that at least some had predicted which affects an economy either positively or negatively (it is anticipated that the majority of candidates will see shock in negative terms because of the reference to 'harm' and this should not be penalised. Please make sure that credit is not given where the preamble to the question is simply copied out, ie an economic shock is something which can have significant consequences)
- distinguishing a demand-side shock from a supply-side shock, perhaps with examples, such as the euro crisis, the 'credit crunch'; oil price increase or a natural disaster.
- defining economic growth, eg an increase in real GDP or an increase in productive capacity.
- distinguishing between actual and potential growth
- Supply: A significant increase in global oil prices will impact on an economy having to import most or all of its oil from the international market, causing the SRAS curve to shift to the left. Higher oil prices will lead to higher unit costs and hence higher prices and hence cost-push inflation. The impact of inflation on real incomes will affect AD (1mark). Demands from labour for higher wages will worsen the inflation problem. Inflation will cause an increase in unemployment and eventually cause economic growth to falter so that stagflation becomes a real possibility.
- Supply: A significant increase in prices of primary commodities generally and/or food prices.
- Supply: A major war/significant natural disaster/a series of devastating terrorist attacks around the world in major economies.
- Demand: The severity of the Eurozone crisis
- Demand: An unanticipated and sudden downturn in emerging economies such as India and China.
- Demand: credit crunch/crisis in major financial markets
- any other economic shock explained which potentially harms growth
- diagrams to help support explanations, eg AD/AS showing shifts of AD and/or AS, micro supply and demand diagrams, PPF

**[15]**

|                                                                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|---------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Introduction</b>                                                       | <ul style="list-style-type: none"> <li>• The budget and budget deficit</li> <li>• The recent UK experience</li> <li>• Short term long-term</li> <li>• The notion of improvement in economic prospects.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| <b>Developing the response to the question (application and analysis)</b> | <ul style="list-style-type: none"> <li>• Short-term gain versus long-term gain</li> <li>• International credit-agency ratings for the UK and their possible significance</li> <li>• Interest rates and quantitative easing – short term benefit, long-term inflation?</li> <li>• The importance of stabilising the economy</li> <li>• Recession in the short term but the possible long-term weakening of the economy</li> <li>• The contrast with the 'Keynesian solution'</li> <li>• Economic growth</li> <li>• Inflation/deflation</li> <li>• Cost-push inflation at a time of 'austerity' creating problems in the long-term</li> <li>• Competitiveness and the balance of payments on current account</li> <li>• Long-term prospects for employment/unemployment</li> <li>• Cyclical and structural unemployment.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                      |
| <b>Evaluation</b>                                                         | <ul style="list-style-type: none"> <li>• The severity of reductions in the deficit</li> <li>• The period of time over which so-called fiscal austerity lasts</li> <li>• What is reasonable to consider as 'long-term' when referring to 'long-term economic prospects'?</li> <li>• How the budget deficit is achieved</li> <li>• Whether the improvement in long-term prospects fully compensates for short-term problems arising from the reductions in the deficit</li> <li>• Does the alternative 'Keynesian solution' really hold water under scrutiny?</li> <li>• Are international credit ratings really that significant?</li> <li>• Long-term prospects may improve on one measure, eg inflation, but suffer on another measure, eg growth</li> <li>• The possible self-defeating nature of deficit reduction, ie efforts to reduce a deficit can bring about an increase as the economy worsens</li> </ul> <p><i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i></p> |
| <b>Also give credit for:</b>                                              | <ul style="list-style-type: none"> <li>• Reference to the UK/other economies</li> <li>• Diagrams</li> <li>• An overall judgement on the issues raised.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

|                                                              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
|--------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Introduction</b>                                          | <ul style="list-style-type: none"> <li>• Reference to the history of the EU</li> <li>• The history of UK membership of the EU</li> <li>• Changing views about membership over time</li> <li>• The nature of the EU, for example, as a customs union/single market</li> <li>• The possible criteria for making a decision.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| <b>Developing the response to the question (Application)</b> | <ul style="list-style-type: none"> <li>• The estimated total cost to UK of membership <b>Extract E</b>(lines 4 &amp; 5)</li> <li>• UK Budget contributions <b>Extract E</b> (line 6)</li> <li>• The Single European Market <b>Extract E</b> (lines 14 &amp; 15)</li> <li>• Foreign direct investment <b>Extract E</b> lines (15 &amp; 16)</li> <li>• The EEA <b>Extract F</b> (lines 3–5)</li> <li>• The example of Norway as a non-member of the EU <b>Extract F</b></li> <li>• Trade theory</li> <li>• AD</li> <li>• Economic growth</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| <b>Analysis</b>                                              | <ul style="list-style-type: none"> <li>• The notion of economic benefit</li> <li>• Economic growth</li> <li>• Employment</li> <li>• Balance of Payments</li> <li>• Exchange rate</li> <li>• Prices</li> <li>• CAP</li> <li>• SEM</li> <li>• CET</li> <li>• The euro</li> <li>• The EEA.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| <b>Evaluation</b>                                            | <ul style="list-style-type: none"> <li>• The uncertainty surrounding the future outside the EU</li> <li>• Whether a comparison with just one other economy (Norway) is helpful</li> <li>• To what extent, if at all, would trade be affected?</li> <li>• Could the UK re-establish former economic links, for example, with the Commonwealth or is this a myth from non-existent halcyon days?</li> <li>• The difficulty of assessing in a truly objective and precise way the various costs and benefits</li> <li>• The possible UK support for membership to foster and maintain economic ties with the EU in contrast to strong opposition to political ties and loss of national sovereignty</li> <li>• The possible changing views about membership as enlargement of the EU continues</li> <li>• Support for membership increasingly tempered by a fear that the UK will become embroiled in the euro crisis financially when the UK is outside the Eurozone</li> <li>• ‘Sitting on the fence’ has limitations; should the UK fully embrace all aspects of the EU and become ‘full Europeans’ including adoption of the euro?</li> <li>• The possibility of the UK joining the EEA or even NAFTA instead.</li> </ul> <p><i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i></p> |

**Also give credit for:**

- Reference to the UK/other economies
- Diagrams
- An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

**28.**

**Calculation**

|                                                                                                         |                |
|---------------------------------------------------------------------------------------------------------|----------------|
| For the correct answer (\$314 bn).<br>The 'unit', (\$ bn) <b>must</b> be shown.                         | <b>2 marks</b> |
| For the correct answer <b>without</b> \$ and/or bn shown                                                | <b>1 mark</b>  |
| Any other answer between 313 and 315 (inclusive) irrespective of decimal places, <b>with</b> unit shown | <b>1 mark</b>  |

[2]

**29.**

**Relevant issues/logical chains of analysis include:**

- defining exports and/or the multiplier
- explanation of the link between the multiplier and AD/use of an arithmetical example
- explaining export-led multiplier, eg the impact of a growing export sector on other sectors of the economy, for example, as those employed in the export sector spend their incomes on goods and services; those businesses in the export sector demanding machinery and technology from other businesses outside the export sector
- use of relevant diagrams, eg AD/AS
- An improvement in the macroeconomy of the EU to which over half of UK exports are sold. Fiscal policy may loosen in the EU, so that consumers' disposable incomes rise and hence their demand for UK goods and services. Equally, unemployment may fall in the EU allowing average incomes to rise and hence consumer demand for UK exports
- UK productivity increases lowering unit costs
- UK/EU relative inflation rates are favourable to the UK
- Quality of UK goods and services
- The exchange rate of the £ against other currencies
- Changing comparative advantage favouring the UK
- appropriate diagrams, eg AD/AS, comparative advantage

[9]